

**JUSTIFICATION REVIEW DOCUMENT
OTHER THAN FULL AND OPEN COMPETITION**

PROJECT: Class Justification and Approval (J&A) to support the use of brand name Heating, Ventilation, and Air Conditioning (HVAC) equipment in new construction and sustainment, restoration, and modernization projects executed by the US Army Corps of Engineers (USACE) on behalf of the US Air Force. In accordance with the agency's standardization program, the US Air Force has determined that only specified makes and models of HVAC will satisfy the agency's needs for additional units or replacement items.

CONTROL NO: LRL-FY23-30

AUTHORITY: 10 U.S.C § 3204(a)(1), *amended by* Pub. L. No. 117-81, 135 Stat. 154); FAR 6.302-1(a)(2)

SIGNATURES ARE REQUIRED BELOW:

I have reviewed this J&A and find the justification adequate to support other than full and open competition.

FAR Part 6 Justification and Approval for Other than Full and Open Competition

1. Contracting Activity: U.S. Army Corps of Engineers (USACE), Louisville District, 600 Martin Luther King, Jr., Place, Room 821, Louisville, KY 40201. Louisville District has prepared this document in support of construction contracts across the entire USACE Enterprise.

2. Description of Action: USACE requests approval of a Class Justification and Approval (J&A) for Other than Full and Open competition to allow Contracting Officers to issue solicitations that specify the use of brand name Heating, Ventilation, and Air Conditioning (HVAC) equipment in the construction of new facilities, as well as equipment for sustainment, restoration, and modernization (SRM) projects for existing facilities, that are executed by USACE on behalf of the Air Force.

During Fiscal Years (FY) 2023 through 2027, USACE will award numerous Firm-Fixed-Price, Design-Build and Design-Bid-Build construction contracts utilizing Military Construction (MILCON), Operations and Maintenance (O&M), and SRM funding. Therefore, this J&A is applicable to various types of facilities due to the numerous projects within the USACE Military and Air Force Reserve Area of Responsibility (AOR). In accordance with mandatory standardization decisions made by the Air Force in accordance with their Category Management (CM) Program, HVAC equipment is being standardized throughout the Air Force on an installation-by-installation basis. The Government will not purchase the equipment directly, but will specify the requirement for offerors to utilize specific brands of HVAC equipment in competitive solicitations that will lead to new construction and SRM contracts for various Air Force renovation and construction projects. The contracts will cover new construction and SRM projects at Contiguous United States (CONUS) and outside the Contiguous United States (OCONUS) locations. The estimated dollar value of HVAC equipment in new construction projects is \$60M and the estimated dollar value of HVAC equipment in renovation projects is \$85M, for a total estimated value of \$145M in HVAC equipment that is anticipated to be required during FY 2023 through 2027.

3. Description of the Supplies/Service: USACE executes MILCON and SRM construction projects on behalf of the Air Force and Air Force Reserve. The anticipated requirements to design/construct facilities, or perform SRM requirements, on Air Force installations for FY 2023 through 2027 is approximately \$145M. The type of facilities will include, but are not limited to, hangars, training ranges, barracks, reserve training centers, maintenance complexes, headquarters complexes, fire stations, and all supporting infrastructure (gates, utilities, roads, drainage) across USACE AOR. As part of the design/construction or SRM efforts, new HVAC chillers will be installed in these facilities. To support the Air Force initiative of achieving economy and efficiency, this J&A supports the specification of brand name HVAC units to be incorporated into construction and SRM contracts from the approval date of this J&A through FY 2027. Periods of performance will be specified in each individual contract. In the performance of these contracts, awardees will be required to provide and install

HVAC equipment from the specified manufacturer. In support of these requirements, USACE obtained properly approved standardization memos from the Air Force to support the designated brand name of HVAC manufacturers that is required at each Air Force installation, as shown in the below table.

HVAC Chiller System Standardization, Single Manufacturer Selection	
Installation	Manufacturer
Al Udeid Air Base	Carrier Corp.
Altus AFB	Trane Inc.
Anderson AFB	Dunham Bush
Arnold AFB	Carrier Corp.
Aviano AB	Swegon Group (Blue Box Inc.)
Barksdale AFB	Trane Inc.
Beale AFB	Trane Inc.
Buckley AFB	Ingersoll Rand (Trane Inc)
Beale AFB	Trane Inc.
Cannon AFB	Ingersoll Rand (Trane Inc., American Standard)
Cape Canaveral AFS	Trane Inc.
Cape Cod AFS	Carrier Corp
Carswell ARS	Carrier
Cavalier AFS	Trane Inc.
Cheyenne Mountain	Trane Inc.
Columbus AFB	Daikin Industries, Ltd. (McQuay International)
Creech AFB	Trane Inc.
Creech AFB	Trane Inc.
Dahlgren AS	Trane Inc.
Davis-Monthan AFB	Trane Inc.
Davis-Monthan AFB	Trane Inc.
Dobbins AFB	Carrier Corp.
Dover AFB	Trane Inc.
Dyess AFB	Trane Inc.
Eareckson AFS	Carrier Corp.
Edwards AFB	Trane Inc.
Eglin AFB	Trane Inc.
Eielson AB	Trane Inc.
Ellsworth AFB	Carrier Corp.
F.E. Warren AFB	Trane Inc.
Fairchild AFB	Trane Inc.
Goodfellow AFB	Trane Inc.
Grand Forks AFB	Trane Inc.
Grand Forks AFB	Trane Inc.
Grissom AFB	Trane Inc.
Hanscom AFB	Trane Inc.
Hill AFB	Trane Inc.
Holloman AFB	Carrier Corp.

Homestead ARS	Carrier
Hurlburt Field	Trane Inc.
Incirlik AB	Carrier Corp. / Clivet (FORM, Midea Group)
JB Andrews	Trane Inc.
JB Charleston	Trane Inc.
JB Elmendorf-Richardson	Trane Inc.
JB Langley-Eustis	Trane Inc.
JB Langley-Eustis	Trane Inc.
JB McGuire-Dix-Lakehurst	Trane Inc.
JB San Antonio	Trane
Kadena AB	Carrier Corp.
Keesler AFB	Trane
Kirtland AFB	Johnson Controls Inc. (York, Quantech)
Kunsan AB	LG
Lajes Field (Azores)	Carrier Corp.
Laughlin AFB	Trane Inc.
Little Rock AFB	Trane Inc.
Los Angeles AFS	Carrier Corp.
Luke AFB	Carrier Corp.
MacDill AFB	Carrier Corp.
Malmstrom AFB	Trane Inc.
Maxwell AFB	Trane Inc.
McConnell AFB	Daikin Industries, Ltd. (McQuay International)
Minneapolis-St. Paul ARS	Trane
Minot AFB	Johnson Controls Inc. (York, Quantech)
Misawa AB	Mitsubishi
Moody AFB	Trane Inc.
Moody AFB	Trane Inc.
Moron AB	Carrier Corp.
Mountain Home AFB	Trane Inc.
Mountain Home AFB	Trane Inc.
Nellis AFB	Carrier Corp.
Nellis AFB	Carrier Corp.
Niagara Falls ARS	Johnson Controls Inc. (York)
Offutt AFB	Daikin Industries, Ltd. (McQuay International)
Offutt AFB	Daikin Industries, Ltd. (McQuay International)
Osan AB	AERMEC
Patrick AFB	Trane Inc.
Peterson AFB	Trane Inc.
Pittsburgh ARS	Carrier
RAF	
Alconbury/Molesworth	Uniflair Limited
RAF Croughton	Carrier Corp.
RAF Lakenheath	Carrier Corp.
RAF Mildenhall	Carrier Corp.

Ramstein AB	Trane Inc
Robins AFB	Carrier Corp.
Schriever AFB	Carrier Corp.
Scott AFB	Trane Inc.
Seymour Johnson AFB	Trane Inc.
Seymour Johnson AFB	Trane Inc.
Shaw AFB	Trane Inc.
Shaw AFB	Trane Inc.
Sheppard AFB	Trane Inc.
Spangdahlem AB	United Technologies Corp. - UTC (CIAT)
Thule AB	Exhausto/ Novenco
Tinker AFB	Trane
Travis AFB	Carrier Corp.
Tyndall AFB	Trane Inc.
Tyndall AFB	Trane Inc.
US Air Force Academy	Trane Inc.
Vance AFB	Carrier
Vandenberg AFB	Trane Inc.
Westover AFB	Carrier Corp.
Wheeler AFS	Carrier Corp.
Whiteman AFB	Trane Inc.
Wright-Patterson AFB	Trane Inc.
Yokota AB	Carrier Corp. (Toshiba-Carrier)
Youngstown ARS	Trane

4. Authority Cited: 10 U.S.C § 3204(a)(1), as implemented by FAR 6.302-1(a)(2), "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements."

5. Reason for Authority Cited: As described at FAR 6.302-1(a)(2), when the supplies or services required by the agency are available only from one responsible source and no other types of supplies or services will satisfy agency requirements, full and open competition need not be provided for. This J&A applies the Only One Responsible Source authority using the application of FAR 6.302-1(b)(4), which indicates that the use of FAR 6.302-1 is appropriate "When the agency head has determined in accordance with the agency's standardization program that only specified makes and models of technical equipment and parts will satisfy the agency's needs for additional units or replacement items, and only one source is available."

a. Background:

- (1) USACE is the servicing agency for USAF MILCON (MCAF), Minor MILCON (MMAF), Air Force Reserve MILCON (MAFR), Base Realignment and Closure (BCF), Air Force Family Housing MILCON/Investment (FHAF) projects executed in accordance with 10 USC 2851, "Supervision of Military Construction Projects", and DoD

Directive 4270.5, "Military Construction".

- (2) In 2019, the Air Force established standardization requirements for the replacement of HVAC equipment across all Air Force installations. The Air Force Senior Procurement Executive approved a Class J&A on 7 August 2019, that requires Air Force procurements to utilize specific makes of HVAC equipment in their requirements. The J&A includes a spreadsheet that identifies the HVAC equipment manufacturers specified for each of the 107 Air Force installations. The Air Force Class J&A is valued at \$370M and states that "[t]he Air Force is required to use the brand name exception to the Competition in Contracting Act (CICA) because the nature of the acquisition as a strategic vehicle for Category Management requires a pre-planned brand name approach to acquiring HVAC chillers." The J&A speaks to significant estimated cost savings in training expenses and efficiency improvements in mission performance that are projected to be achieved through HVAC standardization.
- (3) FAR 17.503(d)(1) states that if a J&A or a Determination and Findings (D&F) is required by law or regulation, the servicing agency shall execute and issue the J&A or D&F, though the requesting agency shall furnish the servicing agency any information needed to make the J&A or D&F. Therefore, USACE, as the servicing agency, concluded that J&As in support of Air Force projects procured by USACE must be executed by the Army.

b. Justification:

- (1) FAR 6.302-1(b)(4) permits use of the Only One Responsible Source authority when the agency head has determined in accordance with the agency's standardization program that only specified makes and models of technical equipment and parts will satisfy the agency's needs for additional units or replacement items, and only one source is available.
- (2) In a memorandum signed on 22 June 2017, the Under Secretary of the Air Force appointed the Deputy Under Secretary of the Air Force, Management and Deputy Chief Management Officer as the Air Force Category Management Accountable Official. On 14 July 2017, the Deputy Under Secretary of the Air Force, Management and Deputy Chief Management Officer, appointed the Civil Engineer Center Director (AFCEC/CL) as the Air Force Category Manager for the Facilities and Construction Category. On 16 May 2019, the AFCEC/CL directed the mandatory standardization of HVAC chiller systems and delegated manufacturer selection to the AFCEC Operations Director (AFCEC/CO).
- (3) On 3 May 2019, the AFCEC/CO executed a Memorandum, Subject: HVAC Chiller System Standardization, Single Manufacturer Selection, which set forth the AFCEC/CL intent to standardize HVAC chiller systems to a single manufacturer at the installation level. The memorandum

explained that standardization of all HVAC chiller systems allows the Air Force to significantly reduce the total cost of ownership which includes the initial procurement, subsequent maintenance, and associated training costs to operate the system over its lifecycle. The memorandum went on to provide guidance for the evaluation, recommendation, and subsequent approval of a single manufacturer for HVAC chiller systems at each installation and stated that Base Civil Engineers (BCEs) were to request and provide justification for the recommended single HVAC chiller manufacturer. The memorandum concluded with a requirement to repeat the analysis after five years from the date of AFCEC/CO approval for a single manufacturer. The purpose of this secondary analysis is to document the installation's progress in standardizing HVAC chiller systems, consider any changes in the decision facts, and confirm no external factors exist that may drive a reconsideration of the approved single manufacturer.

- (4) On 16 May 2019, the AFCEC/CL signed a Memorandum, Subject: Mandatory Standardization of HVAC Chiller Systems. The memorandum directed the mandatory standardization of HVAC chiller systems to a single manufacturer at the installation level and reiterated the process laid out in the above referenced 3 May 2019 guidance. The memorandum also delegated the AFCEC/CL's approval authority to the AFCEC/CO for the selection of a single manufacturer for HVAC chiller systems.
 - (5) In a Memorandum dated 10 September 2019, Subject: HVAC Chiller System Standardization, Single Manufacturer Selection, the AFCEC/CO approved the selection of specific brands as the single manufacturer for bases that fall in the USACE AOR. This selection, supported by the other memorandums summarized above, satisfies the FAR 6.302-1(b)(4) application of the Only One Responsible Source authority, as the Agency Head (delegee) has determined, in accordance with the agency's standardization program, that only specified makes and models of technical equipment and parts will satisfy the agency's needs for additional units or replacement items, and only one source is available.
- c. Alternatives: The standardization determination executed by the Air Force compels USACE to include the base specific requirement in solicitations for the USACE. There is no alternative product that meets the Air Force's need to standardize this equipment. The only alternative considered that would differ from the terms of this J&A was to purchase the HVAC equipment separately and provide it to the construction contractor as Government furnished equipment (GFE). This alternative would still involve the purchase of a specific brand name/manufacturer's equipment on a sole source basis. Further, the effort associated with purchasing, storing, equipment warranty, conveying and managing the GFE was determined to both be inefficient and uneconomical. No other feasible alternative was identified.

- d. Impact: If this J&A is not approved, USACE's Air Force construction contracts will not be executed in accordance with the Air Force CM program. USACE will be unable to implement the Air Force's standardization program. If the HVAC equipment is not standardized, the Air Force will not be able to realize the efficiencies and reduction of costs that have been targeted in the category management analysis. Anticipated advantages include reduced training costs for Air Force maintenance personnel, efficiencies in obtaining and storing spare parts, and decreased disruption to mission by rapid resolution of any HVAC system failures. This Class J&A alleviates the need for preparation and approval of multiple individual J&As.

6. Efforts to Obtain Competition: The Contracting Officer will publish the notices required by FAR 5.201, Publicizing Contract Actions, as described below, and any bids or proposals received shall be considered.

- a. To the fullest extent practicable, solicitations for construction projects will be issued competitively. Though the brand name requirement for HVAC equipment will be stipulated in the solicitations, the HVAC equipment is a small component of the overall large construction project. Where required, Acquisition Plans shall be prepared to ensure the most effective approach to fulfill each requirement. Effective competition will be achieved in multiple ways, including but not limited to full and open competition, small business set asides, and fair opportunity for task orders placed under multiple award task order contracts. This J&A will be posted with each solicitation that relies upon it. Through industry outreach events and initiatives, potential contractors will be made aware of the Air Force standardization decisions and the intent to issue solicitations that specify brand name HVAC equipment for each Air Force installation. This coordination will alert them to engage subcontractors that are certified installers. Approval of this J&A will have no specific impact on small businesses and will not preclude small businesses from any business opportunities for construction and SRM projects in support of the Air Force.
- b. Though the use of specified items cannot be considered competitive regardless of the number of suppliers available, it is anticipated that multiple vendors will be available to provide, install and maintain the Air Force installation identified HVAC systems at the subcontracting level and this sole source will not affect the overall competition for the construction requirement.

7. Actions to Increase Competition: In accordance with FAR subpart 5.2, Synopses of Proposed Contract Action, a Notice of Intent (NOI) under North American Industry Classification System (NAICS) 236220, Commercial and Institutional Building Construction, to include the brand name for HVAC Standardization, was posted to SAM.gov on 05 May 2021 and requested responses by 20 May 2021. Reference section 9 for Market Survey responses. The Air Force requirement to use one type of HVAC chiller at each installation means that only the identified standard chillers will be required. Due to this standardization requirement, there are no planned actions to increase competition for the requirement.

On 27 April 2022, a second NOI under NAICS 236220, Commercial and Institutional Building Construction, to include the brand name for HVAC Standardization, was posted to SAM.gov with requested responses by 12 May 2022. No submissions were received in response to this NOI.

- 8. Market Research:** Market research indicated that competition among authorized suppliers for the brand name products will exist since the products are readily available in the commercial marketplace and there are multiple companies that are licensed to sell the products. Because there are multiple sources, it is reasonable to expect that a fair and reasonable price will result from adequate competition at the subcontracting level.

A NOI was posted to SAM.gov on 05 May 2021, and again on SAM.gov 27 April 2022, with a 15-calendar day response period for interested contractors. The government did not receive any objections to the intent to standardize HVAC chillers in accordance with the Air Force CM for the Facilities and Construction Category Program. A description of the requirement was provided in the SAM notices and advised any contractor that can provide the required were invited to submit a written response indicating ability to meet the requirement. Two sources expressed interest to the published notice dated 05 May 2021. The responses indicate that there are providers that can provide, install, and maintain the required items and no alternative sources were identified for the HVAC equipment that would meet the Government's requirements. No sources expressed interest in response to the published notice dated 27 April 2022.

- 9. Interested Sources:** To date, two responses have been received; Carrier and GCM. The first response was received on 12 May 2021, from Carrier who stated that they "...were selected as a sole-source chiller supplier for a number of USAF bases." The response stated they were happy to provide documentation requested but asked for additional clarification. USACE reached out providing clarification, however a subsequent response was not received from Carrier. The second response was received on 17 May 2021, from GCM. GCM provided a capability statement which indicated vast experience with chillers from 14 manufacturers. The 14 manufacturers identified represents the ability to provide, install and maintain 93% of the Air Force installations identified in the Air Force HVAC Standardization. The J&A will be posted with the issuance of each applicable forthcoming solicitation in accordance with FAR 5.102(a)(6).

- 10. Other Facts:** Reasonable efforts were made to retrieve other facts from computer records, contract files, and other sources to support the use of other than full and open competition as follows:

- a. Prior to the recent standardization efforts launched by the Air Force, there is no known history of sole source procurement of HVAC equipment on an Air Force installation-wide basis.

- b. As previously stated, the Air Force Senior Procurement Executive approved a Class J&A on 7 August 2019 that requires use of brand name HVAC equipment in all requirements procured directly by the Air Force through 2024. The J&A encompassed all Air Force installations and specified a particular brand name as the designated single manufacturers for installations. The Air Force followed up with a formal HVAC Chiller System Standardization, Single Manufacturer Selection determination on 10 September 2019. This Class J&A implements the Air Force standardization determination for all construction projects executed by USACE through 2024.

Attachments:

Tab 1 – Justification and Approval for Air Force HVAC Standardization

Tab 2 – Category Management 4 - HVAC Installation Standardization Memorandums

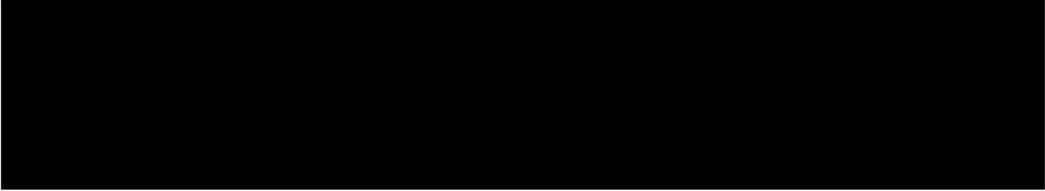
Tab 3 – Notice of Intent dated 05 May 2021

Tab 4 – Notice of Intent dated 27 April 2022

Tab 5 – AF install estimate FY23-27

Tab 6 – AF SRM estimate FY23-27

11. Technical Certification: I certify that the supporting data under my cognizance, which are included in the Justification and Approval, are accurate and complete to the best of my knowledge and belief.



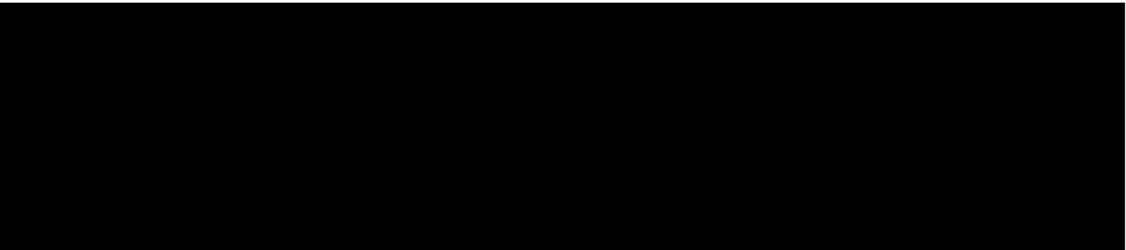
12. Small Business Certification: I certify supporting data under my cognizance which are included in the Justification and Approval is accurate and complete to the best of my knowledge and belief.



13. Requirements Certification: I certify that the supporting data under my cognizance, which are included in the Justification and Approval, are accurate and complete to the best of my knowledge and belief.



14. Legal Review and Concurrence: I hereby determine that the information herein is legally sufficient, and I concur with the sole source procurement.



15. Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief. A determination of fair and reasonable price will be made for each individual contract executed under the authority provided by this Class J&A.



Approval

Based on the foregoing justification, I hereby approve a class justification for the standardization of Heating, Ventilation and Air Conditioning (HVAC) equipment for Air Force construction projects on an Other than Full and Open Competition basis pursuant to the authority of Title 10 United States Code, Section 3204(a)(1), as implemented by Federal Acquisition Regulation 6.302-1(a)(2), "Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements." The estimated period of award is from Fiscal Years 2023 through 2027. The total estimated value is

██████████ The approval is subject to the availability of funds and provided that the services and supplies herein described have otherwise been authorized for this acquisition.

7/17/2023
Date



Douglas R. Bush
Senior Procurement Executive